

Compliance with Ongoing Financial Reporting Mandates: Field Experimental Evidence on the Decision to Issue an Annual Report

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Abstract:

Using the Regulation Crowdfunding market, we examine why managers comply with ongoing financial reporting mandates. While incentives motivating compliance are often masked by high regulatory risk, in our setting enforcement is historically absent. We show that despite manager awareness of reporting obligations and investor demand for financial reports, over half of managers fail to file their annual report, with only 28 percent filing timely. Using rich offering-level data, we find compliance is associated with external monitoring, potential economic benefits, and low disclosure costs, though the predictive power of these factors is low. Exploiting a field experiment, we show that compliance increases by 20 percent in response to messages emphasizing the regulatory risk of non-compliance but find no detectable effect of messages emphasizing economic benefits. Our results provide insights into why managers comply with financial reporting mandates, informing the design of a more cost-effective reporting regime.

Keywords: financial reporting, compliance, enforcement, field experiment, equity crowdfunding (ECF), Form C-AR, Regulation Crowdfunding (Reg CF), Securities and Exchange Commission (SEC), JOBS Act Title III, KingsCrowd

JEL classification: G18, G24, G32, K22, M13, M41

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I. INTRODUCTION

Why do managers comply with financial reporting mandates? While enforcement is widely recognized as a key driver of compliance, maintaining this threat can be costly (Alpert 2025). This expense raises the question of whether enforcement is the optimal regulatory mechanism or whether lower-cost alternatives are equally effective. Understanding what motivates ongoing reporting compliance is therefore essential for (re)designing an effective, and potentially more efficient, regulatory regime.

In the United States, the necessity of enforcement and the relative importance of other factors are largely unknown because enforcement is sufficiently stringent to induce nearly universal compliance. We overcome this difficulty by examining the US Regulation Crowdfunding (Reg CF) market, an ongoing financial reporting environment where the mandate is clear but enforcement and compliance are low. By observing reporting behavior in a low-enforcement setting and conducting a field experiment varying perceived regulatory risk and other determinants of compliance, we examine how various factors affect compliance with mandatory financial reporting rules.

The US Reg CF market is an ideal laboratory to study the determinants of reporting compliance. First, the reporting mandate is clear, simple, and easy to verify: managers must file an annual simplified Form C-AR, which demands minimal disclosure and has no attestation requirement. This requirement allows us to assess a straightforward binary measure of compliance: whether a mandated report was filed. This binary measure is transparent to market participants, free from the measurement error often encountered when assessing the contents of reports (e.g., Bischof et al. 2022), and captures the most basic and important degree of information availability: existence. The second advantage is the low level of enforcement. Despite some evidence of

managers failing to file this annual report (Marks 2024; Schwartz 2025; Bullard 2020), there have been no related SEC enforcement actions to date. Such low levels of enforcement and the resulting imperfect compliance allow us to investigate the motivations managers have for complying with an ongoing financial reporting mandate.

We begin our investigation by documenting the low rate of ongoing financial reporting compliance in the Reg CF market, despite investor demand, using a sample of all issuers with an annual reporting mandate from 2016 to 2024.¹ We find that only 28 percent of issuers file Form C-AR by their first reporting deadline and only 47 percent ever file their first-year financials, even after the deadline. These low rates of compliance are not explained by a lack of manager awareness or the absence of investor demand for accounting information: We show managers time their disclosures and offerings, suggesting awareness of reporting obligations, and that investor traffic to Form C-AR increases when annual reports are posted and when offerings are launched, times when investors are likely most informationally sensitive. Observing investor demand coupled with low levels of compliance raises questions regarding why managers fail to file Form C-AR and, more broadly, what incentives motivate financial reporting compliance beyond enforcement.

Following a standard cost–benefit view of compliance, we consider four factors that may determine whether managers file a required annual report: regulatory risk (via enforcement or private litigation), economic benefit, monitoring, and (low) disclosure costs. Regulatory risk and economic benefits determine the consequences of compliance, monitoring affects the perceived likelihood and salience of those consequences, and disclosure costs represent the direct cost of filing. First, given the well-established importance of securities regulation on disclosure (see Leuz

¹ Firms that issue securities are referred to as issuers, which are the entities responsible for complying with the financial reporting rules studied in this paper. By studying the behaviors of issuers, we can learn about the incentives of the managers who are ultimately responsible for the reporting behavior of the firm.

and Wysocki 2016), we consider regulatory risk, where failing to file an annual report represents a violation of US securities law. Second, we consider the economic benefit issuers may derive from compliance if financial reporting increases their ability to raise future capital (Botosan 2006), as is often the case in contexts where disclosure is voluntary (Verrecchia 2001). Third, monitors including platforms (Cumming et al. 2019), auditors (Bogdani et al. 2022), and analysts (Burke and Fisher 2026) may encourage reporting if they monitor beyond the offering period. Fourth, variation in an issuer’s disclosure costs, including resources and experience, may impact their decision to comply. In sum, our setting is unique among US securities markets in that it exhibits variation along all these dimensions—variation not dominated by high levels of regulatory risk—allowing us to evaluate the influence of each factor on financial reporting compliance.

Given evidence that issuers are aware of their reporting obligation, we use a rich set of data to assess the firm, offering, and manager characteristics that predict compliance. While we find some empirical support for external monitoring, potential economic benefits, and low disclosure costs being correlated with filing Form C-AR, the explanatory power of our determinant model is low, despite the rich data at our disposal. Our results suggest that managers’ incentives to comply with financial reporting mandates may be difficult to predict using archival data alone.

To overcome the limitations of our correlational, archival approach, we exploit a field experiment conducted by the leading US Reg CF analyst firm, KingsCrowd (KC). Specifically, we assess managers’ responses to the randomized rollout of email reminders sent by KC emphasizing different reasons to comply with their financial reporting mandate ahead of their reporting deadline in April 2024.

In this experiment, the content of the reminders was cross-randomized, emphasizing the potential economic benefits of compliance, the potential regulatory risk of non-compliance, both,

or neither. We find that email reminders emphasizing regulatory risk raise the likelihood of compliance by 20 percent, while emphasizing the potential economic benefits of compliance has no detectable effect. Consistent with the literature on the importance of enforcement (Holthausen 2009; Leuz and Wysocki 2016), these results indicate that a primary motivation for compliance with reporting mandates is regulatory risk, while the economic benefits commonly considered in voluntary disclosure environments may be less important. Further, the experiment cross-randomized variation in preparatory costs using discount codes for a preparatory service provider. We find that when regulatory risk is not emphasized, low preparatory costs may increase compliance, suggesting that preparatory costs have an important but second-order effect. Overall, we find that compliance responds strongly to regulatory risk while being less sensitive to other potential determinants that commonly predict disclosure in voluntary settings.

Our study's primary contribution is to the literature on the determinants of compliance with financial reporting requirements. While existing research primarily examines the qualities (e.g., length, detail, defects, etc.) of specific information within a larger mandated disclosure (Bischof et al. 2022; Robinson et al. 2011), such as Exhibit 21 within a Form 10-K (Dyrenge et al. 2020), we consider the much starker decision of whether to file a mandated ongoing financial report *at all*.² Doing so limits potential measurement error when evaluating compliance and avoids concerns of manager obfuscation or miscommunication. However, our primary advance to this literature is methodological. Because reporting mandates are usually rolled out universally, other studies often rely on cross-sectional (e.g., accelerated filers) or time-series variation in exposure to a reporting mandate (e.g., Li 2010; Kraft et al. 2018). By contrast, KC's randomized field experiment provides

²The closest study to ours in this dimension is Alford et al. (1994) who find 20 percent of Form 10-Ks are not filed timely, which they attribute to the firm's size and performance. However, they are unable to causally examine what motivates reporting compliance.

a valid control group and a credible design for identifying the causal effects of various potential determinants on reporting compliance.

The second literature to which we contribute studies the US Reg CF market, where we provide a detailed analysis of ongoing financial reporting. While existing studies examine financial disclosure in the offering statement (Form C), including voluntary financial reporting (Donovan 2021; Pattanapanyasat 2021), the role of assurance (Bogdani et al. 2022; Gong et al. 2022), and the contents of financial disclosure (Aland 2023), there has been limited consideration of the role of annual reporting after the close of an offering.³ Our paper adds to this literature by documenting investor use of annual reports and widespread reporting noncompliance, inviting further studies to investigate the content and usefulness of such reports. Such extensions may speak to if reporting compliance is merely symbolic or truly resolves the informational demands of investors.

Finally, we contribute to the burgeoning literature on regulatory nudges. The bulk of this literature relates to randomizing interventions meant to encourage tax compliance (e.g., Slemrod et al. 2001; Kleven et al. 2011; Perez-Truglia and Troiano 2018; Bergolo et al. 2023) with most research finding that raising the salience of regulatory risk in the form of audits is very effective, while messages of moral suasion are less effective (e.g., Slemrod et al. 2001; Fellner et al. 2013; Castro and Scartascini 2015). We extend this literature to a financial market, where evidence on the effectiveness of nudging is rare (Cai 2020) and randomized field evidence even rarer (Floyd and List 2016), making our findings more directly implementable by regulators. Within accounting, the most closely related field experiment is Belnap (2023), who estimates the effect of non-governmental organization and media coverage on compliance with a UK requirement that large firms disclose their tax strategies. We complement this evidence by studying whether

³ Schwartz (2025) summarizes this issue of non-compliance in the legal literature, citing a prior legal study by Bullard (2020) as well as a Crowdfund Insider article by Marks (2024).

messages emphasizing regulatory risk and economic benefits influence managers' compliance with a mandatory financial reporting mandate.

Beyond our contributions to the academic literature, we provide feedback to securities market regulators, including the SEC and FINRA. Specifically, and most clearly, we show that an email emphasizing regulatory risk increases reporting compliance, providing a cost-effective tool that regulators could adopt (Cai 2020). More broadly, taken together, our findings of the high marginal effect of regulatory risk, the low compliance rate in the absence of enforcement, and the relatively weak response to non-regulatory risk incentives indicate that high levels of regulatory risk are important to ensure compliance with financial reporting rules. Our findings may also inform the ongoing debate over permitting semiannual rather than quarterly reporting for public companies (SEC 2026b). While this debate often centers on the tradeoff between compliance costs and investor demand for information, we show that compliance is highly responsive to regulatory risk but less responsive to messages emphasizing the economic benefits of reporting, suggesting that changes to disclosure regimes should also consider how reforms affect managers' incentives to comply with reporting mandates. These findings provide timely feedback as the Crowdfunding Professional Association (CfPA) advocates for reforms to Reg CF financial reporting (CfPA 2025) and the SEC considers changes to reporting requirements, enforcement priorities, and other deregulatory reforms, including semi-annual reporting for public companies (Coffee Jr and Seligman 2024; Peirce 2025; SEC 2026b).

II. INSTITUTIONAL SETTING

The adoption of Reg CF in May 2016 marked the inception of the US equity crowdfunding (ECF) market, providing entrepreneurs the regulatory framework to issue unregistered securities to accredited and non-accredited investors via an online platform without the costly and onerous

initial public offering (IPO) process. Since its inception, Reg CF has become a popular method for start-ups to raise capital, accounting for nearly \$2 billion raised through over 8,000 offerings. Financial disclosure is particularly important in this setting because these companies are mostly privately held, possess limited operating history, receive little media or analyst attention, and primarily attract retail investors. In many cases, the sole source of ongoing financial information is the firm's annual report.⁴

Unlike registered issuers who must file quarterly (Form 10-Q) and annual (Form 10-K) financial reports, Reg CF issuers generally need only file an annual financial report via Form C-AR, which requires substantially fewer disclosures and no CPA audit or review. If Reg CF securities are outstanding, issuers must file Form C-AR on EDGAR within 120 days of their fiscal year end.⁵ Since approximately 90 percent of Reg CF issuers use a December 31st year end, Form C-AR is typically due by the end of April or beginning of May. Instead, if an issuer meets one of five termination criteria, including going out of business, they may file Form C-TR to terminate their reporting obligation.⁶ Given these relatively simplified disclosure rules, to minimize risk of measurement error, we define compliance using a binary measure: filing Form C-AR (or Form C-TR) by the deadline, regardless of the report's contents.⁷

⁴ By contrast, registered firms have a relatively rich information environment, including nearly universal annual reporting compliance, years of operating history (Siev and Qadan 2022), higher levels of media/analyst attention (Bonsall IV et al. 2020), and significant participation by institutional investors (Abramova et al. 2020).

⁵ If a Reg CF offering is open as of the reporting deadline and the related financial statements are not already available in the offering documents (Form C), the issuer is required to amend the offering via Form C/A with the associated financial statements and file it on EDGAR. This requirement applies regardless of whether the issuer has filed a Form C-AR for the same fiscal year.

⁶ These criteria relate to having 1) few (or no) outstanding investors, 2) few assets, 3) more onerous SEC reporting requirements, and 4) gone out of business.

⁷ As an even weaker measure of compliance, we also consider whether issuers file a Form C or C/A containing financial information, even though these filings are meant to be used to open and amend an offering and do not comply with the annual reporting mandate in effect after an offering is closed.

Issuers that fail to comply with their ongoing disclosure requirement are in violation of Reg CF and subject to SEC penalties. While out of compliance, issuers are prohibited from issuing further securities and, in certain circumstances, may face a serious Section 5 violation. This would open them to significant liability for issuing securities without registration or an exemption.⁸

In terms of preparation, issuers may complete Form C-AR independently or enlist a third party. Some platforms, including Wefunder and StartEngine, offer preparation services ranging in price from \$500 to \$1,000, reflecting the relatively simple Form C-AR requirement. Other firms also specialize in filing SEC forms for small companies. One example is raisepapers, owned by KingsCrowd (KC), which charges a preparation fee ranging from \$375 to \$975. KC is the leading subscription-based analyst service covering US ECF offerings (Burke and Fisher 2026). Motivated to improve the publicly available financial data used in their analysis and to market their raisepapers service, KC implemented a randomized email intervention to encourage Reg CF issuers to file Form C-AR. We discuss this field experiment in Section VII.

III. HYPOTHESIS DEVELOPMENT

While many papers study the *effects* of mandatory financial reporting and disclosure, to our knowledge none examine *why* managers comply with such mandates in the US.⁹ Such a gap in the literature likely stems from historically high levels of enforcement resulting in nearly universal

⁸ An issuer loses their safe harbor from Section 5 if they knowingly violate their ongoing disclosure obligation or their assets/shareholders surpass Rule 12(g) thresholds. Subject to the issuer's continued qualification of the Reg CF safe harbor, issuers can "catch up" with their reporting obligation by filing after the deadline, thereby regaining the ability to rely on Reg CF for future securities offerings. However, tardy filers may still face an enforcement action by the Commission for their time out of compliance. That said, we are unaware of any such enforcement actions relating to ongoing reporting compliance violations after an issuer has "caught up" with tardy filings.

⁹ While there exist papers that study imperfect disclosure compliance to SEC mandates, none to our knowledge consider the decision to completely forgo ongoing financial disclosure nor have settings with low enough enforcement to credibly test other compliance incentives. For example, Alford et al. (1994) document the correlates of tardy Form 10-K filings and Bartov and Konchitchki (2017) study the market response to firms announcing they will file Form 10-K or 10-Q filing late, not the decision of whether or not to file. Schwartz and Soo (1996) and Ettredge et al. (2011) study compliance with a Form 8-K disclosure triggered by the change of an external auditor, not an annual report. Peters and Romi (2013) study the inclusion of mandated environmental disclosures while Alexander et al. (2011) study incomplete compliance with FIN 48 disclosures, not the existence of a financial report.

compliance, which eliminates the variation necessary to examine managerial incentives. Although studies examine the importance of financial reporting enforcement (e.g., Christensen et al. 2013), few consider non-enforcement motives in a mandatory regime. Additionally, while the voluntary disclosure literature identifies reasons managers choose to disclose information, including the cost of capital, proprietary costs, litigation costs, preparation costs, etc. (see Healy and Palepu 2001), it is unclear if and to what extent these reasons apply in a mandatory setting. Therefore, it remains an empirical question whether and why managers comply with a financial reporting mandate in the absence of extensive enforcement.

We consider four factors that may explain compliance, drawing on both theoretical reasons and empirical evidence from other mandatory and voluntary disclosure contexts. The determinants we consider are regulatory risk, economic benefit, monitoring, and disclosure costs. We organize these factors within a standard cost–benefit view of compliance: a manager files when the expected benefits of doing so exceed the expected costs (Becker 1968; Allingham and Sandmo 1972). Regulatory risk and economic benefits determine the expected consequences of compliance versus non-compliance; monitoring affects the perceived probability and salience of these consequences; and disclosure costs represent the direct cost of filing. Viewed this way, the question we study—why some managers comply when enforcement is negligible—resembles other settings in which firms do not appear to maximize immediate economic payoffs, such as the under-sheltering puzzle in taxation (Gallemore et al. 2014). This framework also suggests that behavior may respond to changes in the salience of existing incentives even when the underlying incentives themselves are unchanged (Thaler 1985; Hirshleifer and Teoh 2003).

Regulatory risk

Actual or perceived regulatory risk, stemming from potential enforcement or litigation, may bolster compliance. Non-compliance with an SEC-mandated disclosure rule is a clear violation of securities law. Therefore, given the importance of financial reporting enforcement (see Leuz and Wysocki 2016), managers may view any violation of US securities laws as carrying a high enough regulatory risk to justify compliance.

On the other hand, there have been no known SEC enforcement investigations of Reg CF ongoing financial reporting and, anecdotally, the SEC staff does not monitor incoming Reg CF filings. Therefore, if managers update their beliefs based on the absence of SEC or shareholder actions, they may perceive regulatory risk as sufficiently low as to not warrant compliance (Coffee Jr 2007). Further, the higher propensity for risk-taking among entrepreneurs may minimize the impact of regulatory risk on compliance behavior (Stewart Jr et al. 1999). Importantly, the Reg CF market provides a laboratory where regulatory risk does not dominate other potential incentives to comply with ongoing financial reporting requirements.

Economic benefit

If investors demand financial information in the ECF market (Donovan 2021; Polzin et al. 2018), value compliance for its own sake, or view non-compliance as a signal of poor quality (Burke et al. 2023), non-compliance may increase an issuer's cost of capital to the point of being unable to attract investment (Botosan 1997, 2006; Diamond and Verrecchia 1991). Additionally, a violation of Reg CF reporting rules limits an issuer's ability to offer future securities, potentially incentivizing compliance if managers anticipate issuing securities in the future (SEC 2015).

However, managers may not believe there is a meaningful economic benefit to compliance. Given the opacity of this market combined with the difficulty of assessing investment returns for

start-ups, which are often loss making, investors may not demand ongoing financial reporting (Hayn 1995). Investors may even prefer managers not “waste” time on compliance and instead focus on running the business. Alternatively, investors may be unaware of the annual reporting mandate or less likely to process financial information, especially considering the composition of Reg CF investors is largely retail (Blankespoor et al. 2020; Lawrence 2013). In either case, managers may lack an economic incentive to file Form C-AR.

Monitoring

Monitors may include platforms hosting the offering (Cumming et al. 2019), auditors reviewing the financials (Bogdani et al. 2022; Gong et al. 2022; Burke et al. 2023), and analysts providing information intermediation (Burke and Fisher 2026). Since platforms are monitored by FINRA and expected to screen the offerings they host, they may ensure managers comply with filing mandates, particularly when launching a subsequent offering. Auditors may monitor the offerings they audit or review, reminding managers of deadlines to maintain their client base or minimize liability and reputation costs. Additionally, analysts may directly request compliance or penalize non-compliance in their recommendations.¹⁰

On the other hand, these actors may play a limited monitoring role. Platforms and FINRA appear most concerned with monitoring during an offering, with little oversight after securities are sold. Indeed, none of the (few) FINRA actions against platforms have been related to ongoing reporting. Further, platforms may not fully understand or care about ongoing reporting. For example, the language regarding annual reporting on one of the most popular platforms states, “1 year after your Reg CF round closes, you'll need to file an annual report,” as of June 2026. This statement is sufficiently ambiguous that it may indicate platforms incorrectly believe issuers are

¹⁰ While we are unable to observe issuers' lending relationships, creditors may provide an additional source of monitoring if they require updated financial information from borrowers.

not required to file Form C-AR until the second year following their offering. Auditors may not monitor after an offering since their services are not required for the Form C-AR, providing less incentive to encourage clients to file. KC may also not be sufficiently attentive to issuers after the offering, as their analyst products are tailored to helping investors make initial investment-related decisions during an offering.

Disclosure costs

We consider costs related to preparing and posting Form C-AR as part of disclosure costs. The SEC crafted Reg CF annual reporting requirements to be simpler and less burdensome than traditional Form 10-K reporting. The availability of third-party services that complete Form C-AR at fees between \$500 and \$1,000, without CPA attestation, implies that disclosure costs are low.

However, given the small size and limited resources of Reg CF issuers, these seemingly low costs may be material and managers may even be unaware of their annual reporting mandate (Allee and Yohn 2009). Reg CF issuers may also face proprietary costs of disclosure (Berger and Hann 2007). Supporting this notion, Burke and League (2026) find that issuers are willing to close their offerings early to avoid a similar ongoing reporting requirement.

Taken together, it is an empirical question to what extent Reg CF issuers comply with their annual financial reporting obligation as well as the relative importance of each determinant. Our subsequent analysis, including archival and experimental data, attempts to evaluate each of these potential determinants of compliance.

IV. DATA AND SAMPLE SELECTION

Our data come from four sources. First, we obtain SEC filing data from the SEC's Crowdfunding Offerings Data Sets, which include details from all Form C submissions, including amendments, withdrawals, updates, termination of annual reporting, and, most importantly, annual

reports. We use these data to determine the incidence of ongoing reporting compliance. Second, we download all Form C filings, which we use to identify the fiscal year end for each issuer.¹¹ Third, we obtain data on Reg CF offerings from KC which include offering-, entrepreneur-, and issuer-level variables.¹² Fourth, to investigate investor use of Form C-ARs, we use daily EDGAR log files obtained from the SEC.

Figure 1 outlines the sample used in our analysis. Starting with all Reg CF offerings followed by KC, we exclude offerings that do not link to an SEC Form C filing, were withdrawn, or did not successfully close, as these offerings do not face an ongoing reporting requirement. For our archival analysis, we further exclude offerings whose first Form C-AR reporting deadline was after May 1, 2023, as this represents the last common reporting deadline prior to the randomized intervention. Our sample represents the vast majority of offerings that faced a reporting mandate prior to the randomized intervention. The resulting archival sample includes 3,918 offerings from 3,335 unique firms.

To analyze the impact of the randomized KC intervention, we limit our sample to offerings that faced a reporting deadline on May 1, 2024.¹³ We further restrict the analysis to the 2,280 issuers of 2,897 offerings that KC successfully emailed as part of their marketing campaign.

V. STATE OF ANNUAL FINANCIAL REPORTING COMPLIANCE

In this section, we assess the level of compliance with Reg CF reporting requirements. We define compliance based on whether a financial disclosure is filed, the form utilized, and its

¹¹ We convert all filings to text and then use a script to identify all dates across all filing documents. We assign the year-end based on the highest frequency of dates that appear to be the fiscal year end, which are determined based on proximity to key words or phrases and being the end of a month.

¹² KC attempts to collect data on the universe of Reg CF offerings and appears to have near universal coverage.

¹³ This sample selection step begins with the sample of 5,877 offerings as documented in Figure 1. An offering can be in the archival sample but not the experimental sample if its reporting obligation was terminated between May 1, 2023 and April 1, 2024. Conversely, an offering can be in the experimental sample but not the archival sample if its first reporting obligation was for fiscal year 2023.

timeliness. To avoid measurement error, we do not consider compliance with the substance of the financial report nor the correct application of accounting standards. Thus, our compliance rates are upper bounds: our standard is easier to satisfy than the strictest interpretation of the regulation. When calculating compliance rates, we limit our sample to offering-years with an active reporting obligation by excluding offering-years following the filing of Form C-TR, which terminates the reporting obligation. As a result, these rates reflect, as closely as possible, the issuers who still face a reporting obligation and therefore a compliance decision.¹⁴

We begin by documenting the low rates of compliance. Then, we show that low compliance is not driven by a lack of awareness of the requirement on the part of managers nor a lack of demand from investors. Regarding managers, we provide evidence that they strategically time when they file their Form C-AR as well as when their offerings are open. Regarding investors, we show that they access annual reports when the information is most timely and relevant.

Rate of compliance

Table 1 reports summary statistics for various measures of ongoing disclosure compliance. First, we consider the first fiscal year that the manager faces a reporting obligation.¹⁵ For each of the 3,918 offerings in our sample, we report whether a Form C-AR or C-TR is filed no more than 5 days later than the associated reporting deadline. Despite the mandate, we find that only 27.7 percent of offerings satisfy this measure of compliance. To assess if managers file the necessary forms, but fail to do so timely, we assess whether the first year's Form C-AR or C-TR was ever

¹⁴ We use Form C-TR to identify when an issuer is no longer subject to the annual reporting requirement. This approach provides a clean and observable endpoint for the reporting obligation because information on firm closure is incomplete and potentially noisy. Importantly, issuers remain subject to the reporting mandate until Form C-TR is filed, even if business operations have ceased. Form C-TR is a relatively simple filing that requires issuers to indicate the basis for terminating their reporting obligation and does not require the preparation of annual financial statements.

¹⁵ We focus our analysis on the first year after the offering to include as many issuers as possible and reduce the impact of survival bias.

filed.¹⁶ We find that only 47.2 (an additional 19.5) percent of offerings satisfy this more lenient measure. Finally, to evaluate if managers file any form that could plausibly contain the required financial information, we consider Form C and Form C/A filings that indicate the inclusion of financial information and are filed by the reporting deadline by the same issuer, even if they relate to a different offering.¹⁷ Technically, these filings do not satisfy the obligations of the Reg CF reporting mandate and may or may not include the financial information required. Only 47.9 (an additional 0.7) percent of offerings satisfy this even more inclusive measure of compliance.

Although the reporting deadline is within 120 days of the fiscal year end, the average reporting lag for first-year Form C-AR filers is 157 days. Therefore, even for offerings that file Form C-AR, the average date is over a month after the deadline. However, this average masks significant heterogeneity. Figure 2 reports a histogram of this reporting lag. Clearly, many of these Form C-AR filings happen around the 120-day reporting deadline, with 667 of the 1,825 offerings filing in the 10 days prior to the deadline. However, there is a long right tail, with 15.5 percent of filings occurring over 180 days after the fiscal year end and 5.5 percent of filings taking over a year.

While our primary measures of compliance focus on the first Form C-AR reporting deadline after an offering, Table 1 also reports measures of compliance relating to subsequent reporting deadlines. As discussed in Section II, firms are required to file an annual report every year after the offering until they terminate their reporting obligation. Given this definition, on average, offerings in our sample have had 3.35 years with a reporting requirement. The average share of years with a reporting requirement that an offering files Form C-AR or C-TR in a timely manner

¹⁶ Our data are limited to all EDGAR filings through July 1, 2024. Therefore, tardy filings after this date are not captured in our analysis.

¹⁷ We infer the fiscal year end related to Form C and Form C/A using the timing of when they are filed. Specifically, we only consider Form C filings posted 90 to 125 days following the related fiscal year end and Form C/A filings posted 30 to 125 days following the related fiscal year end. Further, the description of the amendment, per the SEC structured data, must include a keyword indicating the inclusion of financial information to be considered in our analysis.

is only 25.4 percent, with similarly low shares of years satisfying our more lenient measures of compliance. The fact that the average compliance rate across all years (25.4 percent) is lower than first-year compliance (27.7 percent) suggests that managers are most attentive to their mandate immediately following an offering, with compliance further deteriorating in subsequent years.

To capture all offerings that are ever compliant with their annual reporting obligation, we consider whether they have ever filed an annual report, regardless of the fiscal year end. We find that only 43.4 percent of offerings ever timely file either Form C-AR or C-TR for any of the years they have a reporting obligation. This means less than half of issuers are *ever* in compliance with their annual reporting obligation for any fiscal year.¹⁸ Similarly, we find that only 57.0 percent of issuers ever file a C-AR or C-TR (including untimely filings) and only 57.5 percent of firms ever file anything potentially resembling financials following their offering. In short, we find that across various measures, compliance with the Reg CF annual reporting requirements is low.

Manager awareness of their reporting obligation

One potential explanation for low financial reporting compliance is that managers are simply unaware of their reporting obligation. To investigate this possibility, we consider two strategic managerial behaviors that indicate awareness of the requirement, even among non-compliant issuers: strategic tardy disclosure filing and strategic offering closure timing.

To evaluate whether managers strategically file Form C-AR after they have fallen out of compliance, we investigate whether subsequent offerings explain tardy filings. Specifically, we find that issuers frequently file their first required Form C-AR concurrent with a subsequent offering (when they post their next Form C). This pattern suggests an awareness of the reporting

¹⁸ This is based on a definition of compliance whereby an issuer files the correct form by the correct deadline, thereby technically fully satisfying their Reg CF annual reporting obligation. It does not consider alternative forms that may resemble the correct forms nor instances where the correct forms that are filed tardy.

mandate despite non-compliance. Within the sample of offerings that are followed by a subsequent offering and the first-year's Form C-AR is filed, Figure 3 plots the days from the issuer's first fiscal year end following an offering to the filing date of their next Form C against the annual reporting lag. As shown in Figure 2, many filings fall around the 120-day deadline (indicated by the vertical red line) regardless of subsequent offering timing. However, we see that first-year filings commonly occur around the time of subsequent offerings, as indicated by the density of points along the 45-degree line. This line denotes the point where the reporting lag equals the time to the next offering. Points just above and to the left of the line represent issuers that file Form C-AR just before filing Form C for a subsequent offering. Specifically, Form C-AR is filed within 10 days preceding a subsequent Form C for 12.9 percent of offerings, or 32.1 percent of those that file a tardy Form C-AR. In short, issuers frequently "catch up" in advance of a subsequent offering, suggesting managers are aware of their reporting obligation but often prioritize compliance when it facilitates future capital raises.

Relatedly, patterns in offering closures indicate managers are aware of their reporting obligation even before closing their offering, minimizing concerns that low compliance is not an active management decision and simply an indicator of low awareness. In a concurrent working paper, Burke and League (2026) find a clear drop off in offerings in May, driven by closures in April, immediately preceding the annual reporting deadline. This pattern is consistent with managers strategically closing offerings to avoid the requirement to file an annual report via Form C/A (if the offering remained open), indicating an awareness of the Reg CF reporting obligation.¹⁹

¹⁹ This strategic closure may be partially explained by the incorrect belief that issuers can skip their first year of Form C-AR reporting, whereby issuers believe if they close in April they do not need to prepare financial statements for a full year. However, only 14 percent of offerings that close in April skip their first year of Form C-AR filings before ever filing subsequent-year financials, indicating that this potential confusion is likely a small contributor to the rate of closures. Regardless, these closures still indicate an awareness of the reporting requirement.

Taken together, patterns in the timing of Form C-AR filing and offering closure indicate awareness among a large share of managers of their reporting obligation.

Demand from investors

Another potential explanation for low compliance is a lack of investor demand for accounting information (Cade et al. 2023). If investor demand is negligible, the economic benefit of compliance would be low, making our setting quite different from voluntary disclosure environments where investor attention is a necessary condition for disclosure. To evaluate investor demand, we use EDGAR log files to examine whether investors access Form C-AR when making investment decisions—periods when they should be most informationally sensitive.

First, we show that traffic to Form C-AR makes up a meaningful share of the traffic to financial information available on EDGAR, and that the timing of this traffic is consistent with investors demanding timely information. Figure 4 Panel A shows the weekly share of EDGAR traffic attributable to Form C-AR. Overall, visits to Form C-AR account for 9.8 percent of EDGAR traffic associated with Reg CF issuers, with traffic increasing dramatically at the annual reporting deadline. For example, in the week of the 2022 reporting deadline, traffic to Form C-AR represented over 60 percent of EDGAR traffic among Reg CF issuers. The coincidence of traffic to Form C-AR with the reporting deadline suggests that investors seek timely financial information.

Next, we find evidence suggesting that Form C-AR traffic is not driven by *existing* investors checking annual reports for current holdings, but rather by *potential* investors accessing information to inform new investment decisions. To test this, we investigate how traffic to existing (already posted) reports responds when an issuer launches a new offering. Limiting the sample of

Form C-ARs to those from issuers that subsequently open another offering, we estimate the following regression,

$$Y_{it} = \sum_{e \in [-8,7]/\{-1\}} \beta_e \text{WeeksToTreat}_{it}(e) + \gamma_t + \gamma_i + \delta_{it} + \varepsilon_{it} \quad (1)$$

where Y_{it} is traffic to Form C-AR i in week t , $\text{WeeksToTreat}_{it}(e)$ is an indicator for being e weeks from the opening of a subsequent offering, γ_t and γ_i are week and Form C-AR fixed effects, and δ_{it} is a fixed effect for the number of weeks from the posting of the report to week t . The coefficients of interest are the set of β_e , which give the differential change in traffic to existing C-ARs when a subsequent offering is opened.

Figure 4 Panel B reports estimates of β_e . We see that traffic to Form C-AR spikes when an issuer launches an offering. In particular, we estimate that in the week an offering opens, traffic to existing Form C-ARs from that issuer increases by 50 percent (0.4 log points) relative to the week before. This effect decreases over the following four weeks. In sum, the evidence that investors actively access Form C-ARs when new investment opportunities arise, and do so in substantial numbers, is consistent with investors' demand for and attention to ongoing financial reporting.

VI. ARCHIVAL EVIDENCE OF COMPLIANCE INCENTIVES

Given the low rates of financial reporting compliance cannot be explained by a lack of manager awareness nor the absence of investor demand, we turn to our rich set of archival data to understand why specific managers comply with their financial reporting mandate while others do not. We begin by considering the correlates of annual reporting compliance using offering, issuer, and manager characteristics as predictors of subsequent compliance. Because of the extensive data on each offering, we use principal component analysis to reduce the dimensionality of our data to nine factors relating to three (of the four) potential motivators of compliance discussed in our

hypothesis development. First, we consider the economic benefit of reporting (Verrecchia 1983), which includes factors for investor demand, likelihood of good news, proprietary costs, and the status of the founder as a member of an underrepresented group (Fairlie et al. 2022). Second, we construct a factor for monitoring, which includes proxies for exposure to external monitors such as platforms, auditors, analysts, or advisors. Third, we consider disclosure cost, which includes factors for the issuer's resources, prior Reg CF experience, manager experience, and preparatory costs. These principal components are then normalized to have a mean of zero and a standard deviation of one so that the coefficients can be directly compared to one another.

Table 2 reports the correlation of these potential determinants with our three measures of first-year compliance. In general, the hypothesized determinants are positively correlated with compliance. This is most consistently true for factors related to low disclosure cost. More specifically, the correlation between firm resources (e.g., assets, sales, firm maturity, etc.) and compliance ranges from 0.096 to 0.115. Similarly, the correlation between compliance and prior Reg CF experience (e.g., prior offerings, filing amendments, prior offering success, etc.) ranges from 0.069 to 0.074. While there is mixed evidence on the importance of factors related to monitoring and economic benefits, we find that monitoring, investor demand, and good news are positively correlated with our strictest measure of compliance, timely filing, supporting the relevance of these theoretical factors. Importantly, factors consistently correlated with compliance are generally only weak predictors, while the determinants themselves are highly correlated with one another, with inter-factor correlations ranging from 0.36 to 0.96.

Table 3 presents all potential determinants of compliance in the same regression. Given the high degree of multicollinearity between these independent variables, we caution against overinterpreting the multivariate regression results. With that caveat, we note that when controlling

for other potential determinants, the factors related to potential economic benefits and monitoring are reliably associated with compliance, while disclosure cost measures are no longer strongly related. When considering the specific factors underpinning potential economic benefits, we show that compliance increases most strongly with the likelihood the firm has good news (e.g., Beck 2018), but decreases as proprietary costs (e.g., patents, competition, etc.) decrease and for underrepresented founders (e.g., race, sexual orientation, etc.). While existing literature suggests firms with low proprietary costs would be more likely to disclose (e.g., Ellis et al. 2012) and minority founders may disclose to overcome other barriers to investment capital (e.g., Fairlie et al. 2022), we find no evidence in our context that this is the case. One possibility is that these factors are indirectly (and unexpectedly) capturing disclosure costs (e.g., firm resources) instead of potential economic benefits. This conjecture is consistent with the fact that when included in a multivariate regression, the effect of firm resources on compliance is attenuated, suggesting these factors may be capturing the same latent variable. Given the somewhat inconsistent results between the univariate and multivariate tests, coupled with an R^2 of between 3.69 and 7.39 percent, we conclude that although the theoretical factors from Section III appear relevant, they are insufficient for accurately predicting annual reporting compliance *ex ante*.²⁰

VII. EXPERIMENTAL EVIDENCE OF COMPLIANCE INCENTIVES

Experimental design

To better understand why managers comply with mandatory reporting requirements, we turn to a field experiment conducted by the leading analyst firm in this market, KingsCrowd (KC). In April and May 2024, KC sent emails encouraging managers to comply with their annual reporting

²⁰ In untabulated results, we use various machine learning techniques to attempt to predict later compliance using the roughly 1,000 offering characteristics in our data. The highest cross-validated R-squared we can achieve is 0.130 using a probit LASSO model. This further suggests that predicting compliance is difficult *ex ante*.

requirement. Specifically, KC sent emails to managers for whom a functioning email could be found, with email addresses associated with the same manager receiving the same treatment. Emails were sent on April 3rd, April 17th, and May 15th, 2024.²¹

Within the experimental sample presented in Figure 1, offerings were randomized to receive email reminders emphasizing two of the four motivations for compliance discussed in Section III. Each email contained language emphasizing one of the following: regulatory risk via the salience of the mandatory nature of annual reporting; economic incentives via the potential economic benefit of compliance; no language regarding either potential incentive; or language emphasizing both incentives. Managers were also offered cross-randomized discounts of five possible amounts ranging from \$50 to \$400 for Form C-AR filing assistance from raisepapers. Thus, the design is 2-by-2-by-5, with messages randomly differing by whether each of the two types of language are included and the discount amount.

Figure 5 displays an example email, including language for both the regulatory risk and economic benefit treatments. KC increases perceived regulatory risk by using language that increases the salience of the reporting mandate and the potential violation of securities law arising from non-compliance. If managers already understand their obligation or do not fear regulatory risk, we do not expect them to respond to this randomized treatment. KC increases the perceived economic benefit of compliance by highlighting that compliant companies have more successful subsequent offerings on average. This aligns with findings that managers are more likely to comply with regulations when they have a greater need for external financing (Ettredge et al. 2011) and the possibility that the benefits of reporting are not as salient as the costs (Lisowsky and Minnis 2020). If managers already consider these potential benefits or do not

²¹ Following the April 3, 2024 email, KC reviewed EDGAR filings and removed managers who had completed all necessary filings from subsequent reminders.

believe investors are responsive to reporting compliance, we expect they will not respond to this treatment.²² Due to this randomized design, differences in subsequent reporting behavior can be causally attributed to the messages received, overcoming the endogeneity of reporting with respect to unobserved offering, issuer, and manager characteristics.²³

To estimate the effect of the randomized content, we estimate the following equation:

$$Y_i = \beta_0 + \beta_1 \text{Reg. Risk}_i + \beta_2 \text{Econ. Benefit}_i + \beta_3 \text{Log_Price}_i + \varepsilon_i \quad (2)$$

where *Reg. Risk_i* denotes whether an email address associated with the offering received an email emphasizing the regulatory risks of non-compliance, *Econ. Benefit_i* denotes whether the message emphasizing the economic benefits of compliance, and *Log_Price_i* denotes the natural logarithm of the discounted price offered.²⁴ The outcomes, *Y_i*, are the compliance measures previously discussed, including timely filing of a C-AR or C-TR, the filing of C-AR or C-TR including late filings, and the filing of any forms that plausibly contain financial information. Our EDGAR data are truncated at July 1, 2024, two months after the reporting deadline. We also assess the effect of the intervention on the take-up of a service that helps managers fulfill their ongoing reporting obligation called raisepapers. Our specification estimates the overall treatment effect which we can also estimate week-by-week to validate that differences between treatment groups emerge only post-intervention. We also test for interaction effects to determine if the impact of one treatment depends on the presence of another.

²² In testing the relative importance of these two treatments, we also test the relative effectiveness of prescriptive/injunctive versus descriptive norms (Cialdini et al. 1990), respectively, in the setting of financial reporting compliance.

²³ We provided feedback to KC on the design of their email intervention. We shared the nature of our involvement with our respective Institutional Review Boards and agreed that review was not necessary.

²⁴ This specification imposes a functional form on the relationship between the price of the raisepapers service and compliance. Further, it does not include interaction terms for each of the treatments. Both decisions improve the interpretability and statistical power of our tests. Since the two-by-two-by-five experimental design results in twenty treatment combinations, individual cells have too few observations to support reliable inference. However, due to cross-randomization, each treatment remains independent of the error term, allowing for the causal identification of marginal effects even without interaction terms.

Table 4 presents summary statistics across treatment groups. Using an F-test of equality of all means across the four groups, we find that only one characteristic is statistically different at the 10 percent significance level: the probability of filing anything in the prior year. Otherwise, the other 18 characteristics are statistically equivalent. We see no qualitatively large differences across groups. The lack of systematic differences across groups is consistent with successful randomization.

Findings and discussion

KC’s email reminders were successful at reaching the intended recipients. Across the three reminders, 72 percent of issuers opened at least one, with 62 percent opening the first reminder alone.²⁵ This open rate is very high compared to typical unsolicited email advertising, indicating that the emails reached the intended recipients (Sahni et al. 2018).

Table 5 presents estimates of equation (2). We find that emails emphasizing the regulatory risks of non-compliance significantly increase annual report filings and the take-up of raisepapers. Specifically, offerings treated with $Reg. Risk_i$ are 3.3 percentage points more likely to file a timely annual report, representing a 20 percent increase relative to the baseline rate of 16.9 percent among the control group that received emails without any emphasis added. We observe effects of similar magnitude on our other measures of compliance. Finally, receiving mandatory language increases the likelihood of using raisepapers by 1.5 percentage points.

To further validate the causal interpretation of this difference, we show the timing of filing an annual report coincides with the email intervention. Figure 6 shows the difference in the share of offerings filing an annual report over time by whether the messages emphasize the regulatory risk

²⁵ For emails associated with Apple devices, we are unable to distinguish between email opens that happen automatically or those initiated by the user. Assuming none of the opens on Apple devices are initiated by the user, we find a lower bound on the opening rate of 41 percent for the first email reminder, which remains exceptionally high.

of non-compliance. After the intervention began, managers who received messages emphasizing regulatory risk rapidly began filing annual reports at a higher rate. The fact that the filing effect coincides with the timing of the randomized treatment, further validates that messages emphasizing the regulatory risks of non-compliance causally increased the rate of filing.

In contrast to the effectiveness of the regulatory risk messages, we find no evidence that messages emphasizing the economic benefits of compliance nor offering larger discounts on the raisepapers service induced additional compliance, on average. As shown in Table 5, offerings receiving emails emphasizing the economic benefits of annual reporting were no more or less likely to comply. Looking at column (1), we can rule out an increase in timely filing of more than 1.8 percentage points or a change of more than 11 percent relative to the baseline rate at the 95 percent confidence level.²⁶ Thus, our estimates indicate a relatively precise null effect.

Similarly, we find a null effect of raisepapers discounts on filing an annual report or using the service. Regarding compliance, we can rule out an increase in timely filing of larger than 0.08 percentage points for a 1 percent decrease in the price of raisepapers at the 95 percent confidence level, suggesting that increasing the salience of low preparatory costs does not induce compliance, on average.²⁷ Regarding the take-up of the raisepapers service, we find no evidence that larger discounts increase the use of raisepapers on average, ruling out increases larger than 0.006 percentage points for a 1 percent decrease in price at the 95 percent confidence level.²⁸ Relative to the baseline take-up rate, we can rule out price elasticities of demand for the service of less than -0.58, indicating a precisely estimated null effect.²⁹ These precise null effects indicate that while the overall costs of preparing annual reports may be a meaningful determinant of compliance

²⁶ $-0.00976 + (0.0142 * 1.96) = 0.0181$, $0.0181 / 0.169 = 0.107$

²⁷ $-0.0172 - (0.0297 * 1.96) = -0.075$

²⁸ $0.00995 - (0.00784 * 1.96) = -0.005$

²⁹ $-0.0004 / 0.00708 = -0.576$

(Burke and League 2026), preparatory costs defrayed by the raisepapers service are not a primary driver for most managers.

Given evidence that regulatory risk drives compliance with financial reporting mandates, we explore whether the other treatments matter conditional on regulatory risk saliency. In Table 6 columns (1)-(4), we find that conditional on receiving the regulatory risk language, the other treatments remain ineffective. By contrast, in columns (5)-(8), we find that conditional on *not* receiving the regulatory risk language, offering greater discounts on the raisepapers service induces more filing, albeit without differences in the direct usage of raisepapers. We estimate that a 1 percent decrease in the price offered led to a 0.08 percentage point increase in the likelihood of compliance, a price elasticity of -0.5 relative to baseline.³⁰ Consistent with Table 5, this indicates that the annual reporting response to the price of raisepapers is inelastic,³¹ but that issuer perceptions of preparatory costs may still influence compliance when regulatory risk is not salient.

Similarly, Figure 7 demonstrates that there is little interaction between regulatory risk and economic benefit messaging. This figure reports the share of offerings that complied with the reporting mandate or used the raisepapers service for each possible combination of language. We see that groups receiving messages emphasizing regulatory risk had higher compliance than those without, with little difference by whether economic benefit language was included.

Our estimates capture the short-run effect of the intervention and do not speak directly to whether compliance persists absent additional reminders or changes in enforcement. Notably, however, awareness of Reg CF annual reporting obligations has increased since the experiment through industry education efforts, practitioner webinars, SEC interpretive guidance on Reg CF

³⁰ $-0.0788 / 0.169 = -0.466$

³¹ We can rule out demand being unit elastic at the 95 percent confidence level, with the lower bound on this confidence interval being $(-0.0788 - (0.0398 * 1.96)) / 0.169 = -0.928$.

reporting requirements, and broader policy discussions concerning crowdfunding and small-business capital formation (CfPA 2026; KingsCrowd 2026; SEC 2026a; Peirce 2025).

Taken together, the randomized intervention provides four takeaways. First, regulatory risk is a primary driver of financial reporting compliance. Second, perceived economic benefit does not meaningfully induce compliance. Third, when regulatory risk is not salient, increasing the salience of low preparatory costs may increase compliance, but when regulatory risk is salient preparatory costs have no impact on compliance. Finally, simple email reminders that emphasize regulatory risk are an effective method of increasing financial reporting compliance.

VIII. CONCLUSION

Given the high levels of regulatory risk in most US financial markets, there exists little evidence on the necessity of costly enforcement or the potential for alternative incentives to motivate compliance with US financial reporting mandates (Coffee Jr 2007). This paper provides insights into this question by studying a setting characterized by a clear financial reporting mandate, yet lax enforcement and imperfect compliance: the US Reg CF market. As an ideal laboratory, this setting allows us to isolate factors beyond regulatory risk that might explain managers' incentive to comply with mandated reporting. Additionally, our study provides some of the first comprehensive evidence on the ongoing financial reporting behavior of Reg CF issuers in this emerging capital market.

We find that ongoing reporting compliance among Reg CF issuers is strikingly low, despite evidence of investor demand for financial information and manager awareness of the mandate. Specifically, only 28 percent of issuers file Form C-AR by their first reporting deadline and only 47 percent ever file their first-year financials, even after the deadline. Further, more than half of issuers never file Form C-AR by the mandated deadline for any reporting year. To understand the

drivers of the straightforward, binary decision of filing a financial report, we assess potential correlates, finding that external monitoring, potential economic benefits, and low disclosure costs are positively associated with compliance, though compliance is difficult to predict using archival data alone.

To overcome these limitations, we exploit a field experiment conducted by KingsCrowd that identifies the causal effects of various determinants on reporting compliance. We find that reminders emphasizing regulatory risk are significantly more effective in driving compliance than those focusing on potential economic benefits, suggesting that legal repercussions remain a key motivator, even in low-enforcement settings. Furthermore, when regulatory risk is not emphasized, the salience of low preparatory costs may marginally increase compliance.

These results have important implications for the design of an effective, and potentially more efficient, regulatory regime. For regulators and monitors, such as the SEC, FINRA, and offering platforms, we bring attention to widespread non-compliance with ongoing disclosure mandates, identify correlates of non-compliance, and provide evidence of a low-cost nudging tool to increase financial reporting. We further demonstrate the importance of regulatory risk salience for ensuring compliance, with other incentives having a much lower marginal effect. These results imply that regulatory changes that weaken enforcement or its perceived threat could significantly undermine compliance (Fischman et al. 2026).

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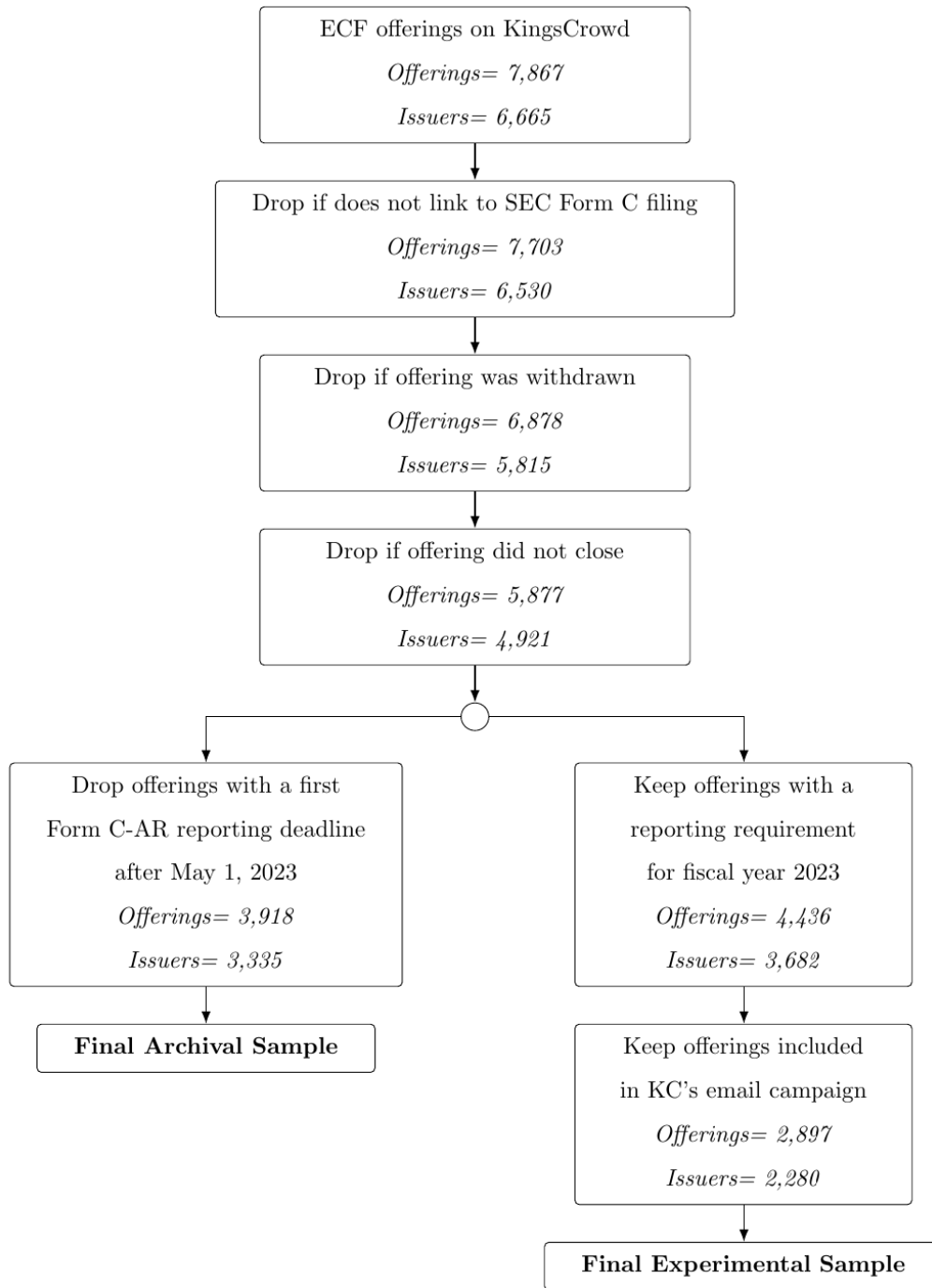
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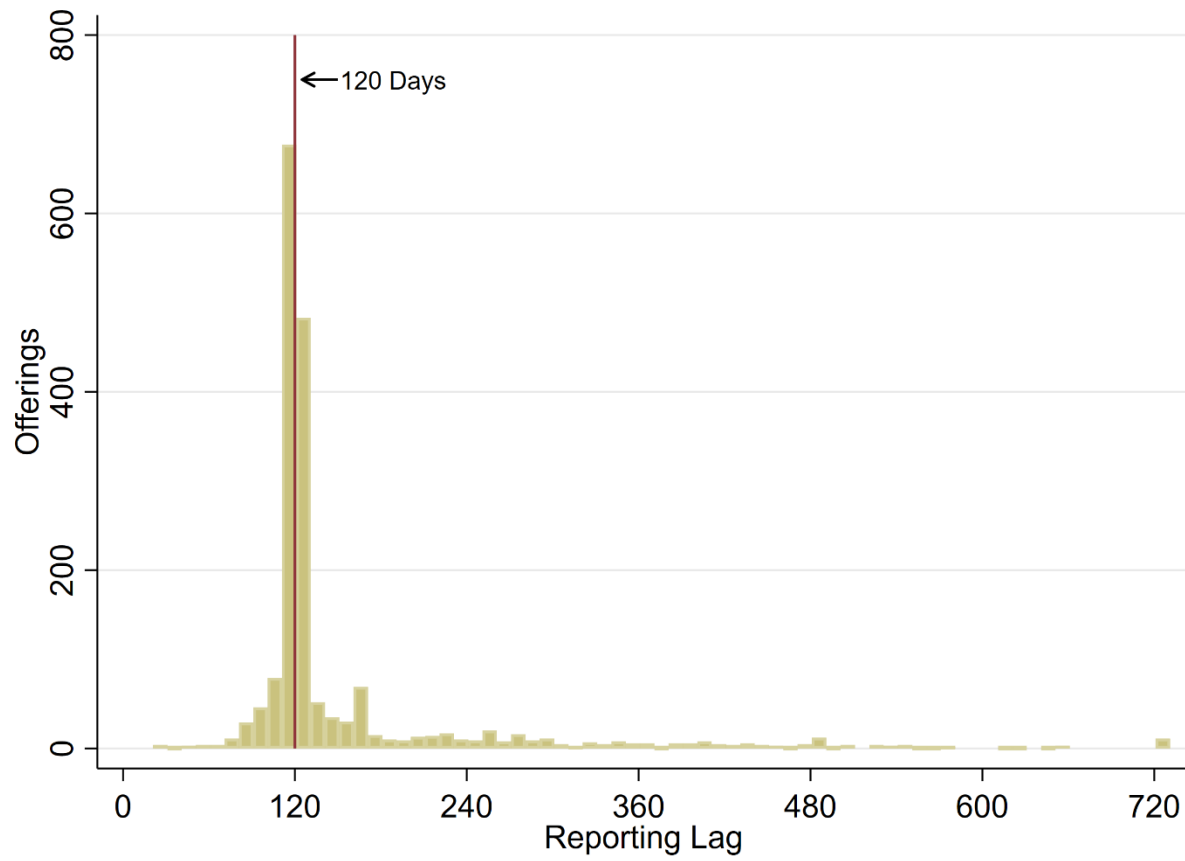
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Figure 1 - Sample Selection



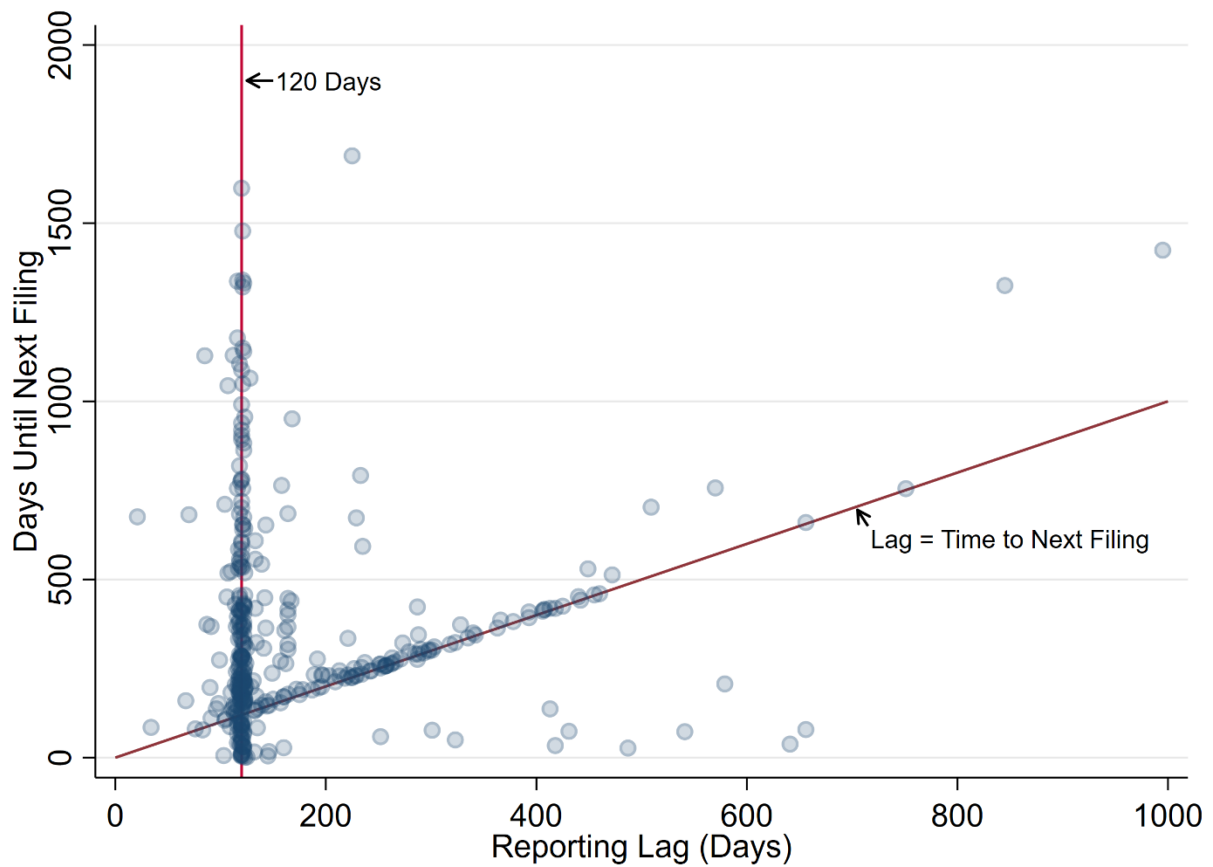
Note: This figure reports the sample selection procedure for our analysis of US Reg CF offerings.

Figure 2 – Reporting Lag



Note: This figure displays a histogram of the lag from the fiscal year end to the filing of Form C-AR the first year an offering faces an annual reporting requirement. The sample is limited to offerings for which a C-AR was reported. The reporting lag is winsorized to 721 days

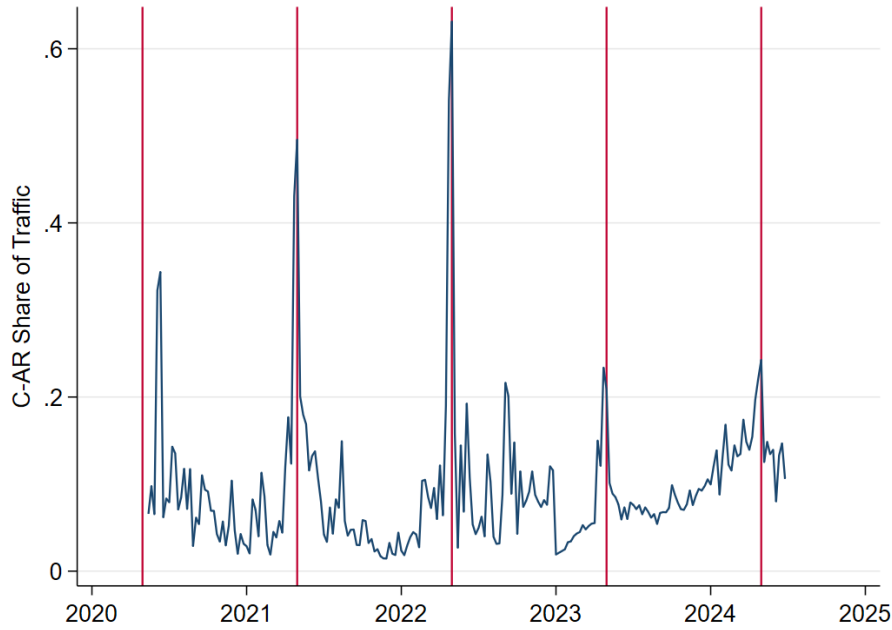
Figure 3 – Reporting Lag and Subsequent Offering Timing



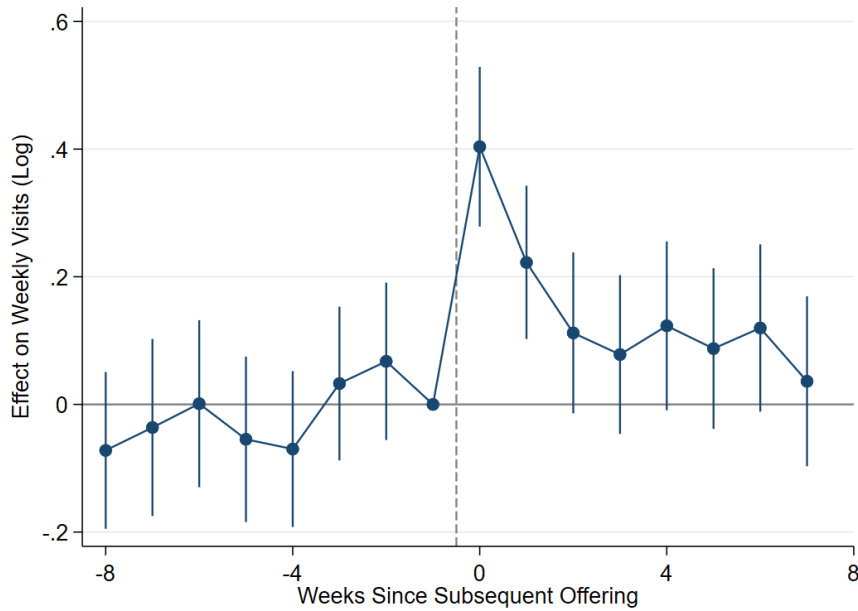
Note: This figure displays a scatterplot of the lag from the fiscal year end to the filing of Form C-AR the first year an offering faces an annual reporting requirement (on the horizontal axis) against the lag from the same fiscal year end to the filing of a Form C for a subsequent offering. The sample is limited to offerings for which the first Form C-AR was filed and that have a subsequent offering (via Form C filing). The vertical red line denotes the mandatory reporting deadline of 120 days. The diagonal red line denotes the points at which the horizontal and vertical axis values are equal (45 degrees), indicating when the Form C-AR reporting lag exactly matches the timing of a subsequent Form C filing.

Figure 4 – Investor use of Form C-AR

Panel A:

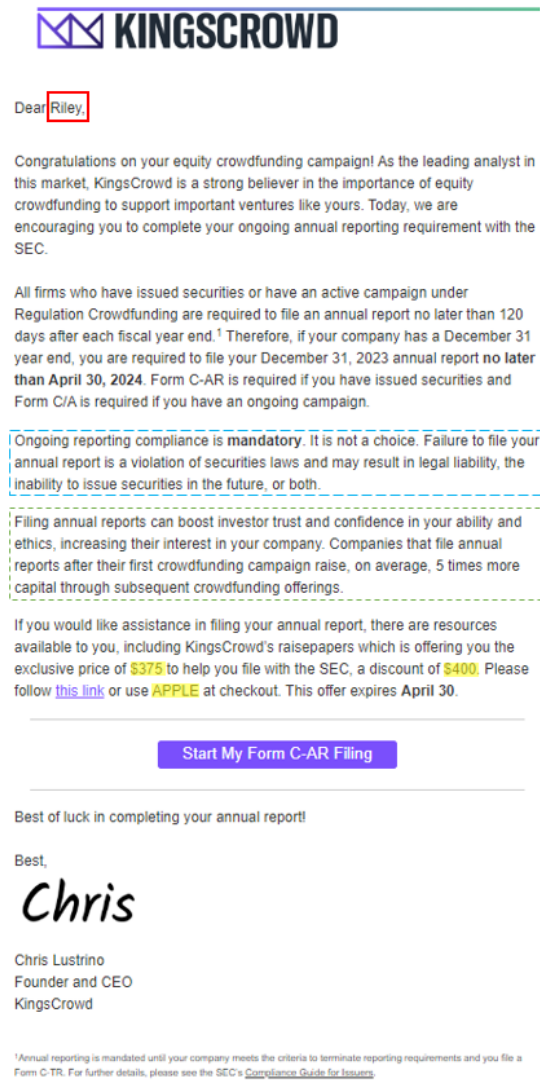


Panel B:



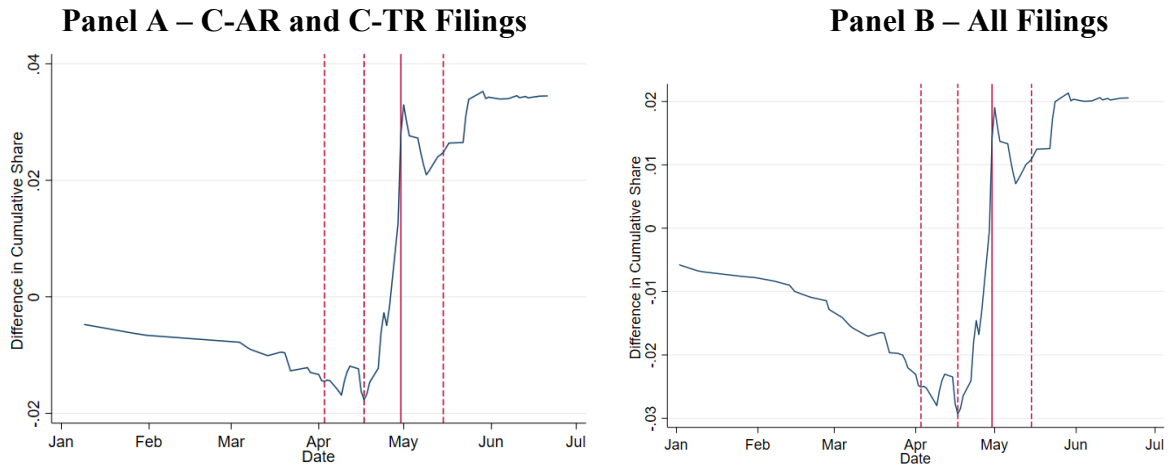
Note: Panel A gives the weekly share of web traffic to Form C-AR relative to other documents posted by issuers with at least one Reg CF offering from May 2020 through June 2024. The vertical red lines denote the reporting deadline for Form C-AR for firms with a December 31 fiscal year end. Panel B reports estimates of β_e for $e \in [-8, 7] \setminus \{-1\}$ from equation (1). The sample is limited to Form C-ARs posted by issuers that open a subsequent offering at least 8 weeks later. Standard errors are clustered by Form C-AR.

Figure 5 – Example Email



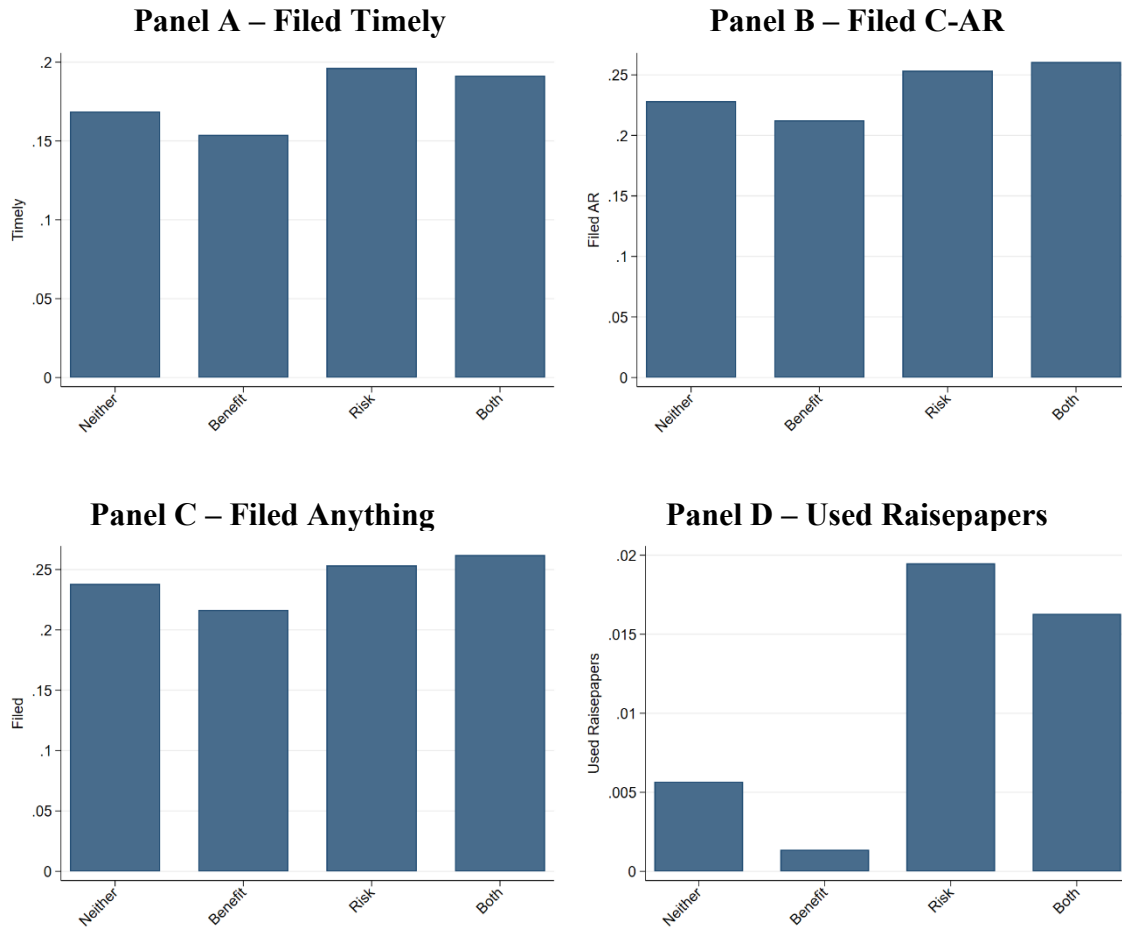
Note: The figure is an example email intervention sent in the first wave of emails on April 3, 2024. The red box contains the first name of the manager. The blue long-dashed box contains the language emphasizing regulatory risk. The green short-dashed box contains the language emphasizing the potential economic benefits of compliance. Highlighted in yellow is the randomized discount offered for assistance in filing Form C-AR. This example includes both treatments, unlike other emails that received one or neither.

Figure 6 – Timing of Filings by Regulatory Risk Language Status



Note: These figures show the difference between offerings that received language emphasizing regulatory risk of non-compliance and those that did not in the cumulative share of offerings having filed for fiscal year 2023 by the date given on the horizontal axis in 2024. Panel A reports the difference in the cumulative share that filed a C-AR or C-TR. Panel B reports the difference in cumulative share that filed anything with the SEC. The vertical dashed lines denote the dates email reminders were sent. The solid vertical line denotes the filing deadline.

Figure 7 – Compliance by Treatment Status



Note: These figures show the share of offerings that received each combination of language emphases that complied with the reporting mandate using various measures of compliance. Panel A reports the share that filed Form C-AR timely. Panel B reports the share that ever filed Form C-AR. Panel C reports the share that ever filed any form. Panel D reports the share that used the raisepapers service.

Table 1 – Compliance Summary Statistics

	Mean	Std. Dev.
First Year Compliance		
<i>Filed Timely</i>	0.277	0.448
<i>Filed C-AR</i>	0.472	0.499
<i>Filed Anything</i>	0.479	0.500
Reporting Lag (Days)	156.7	106.1
Years with Reporting Requirement	3.35	1.50
Share of Years Compliant		
<i>Filed Timely</i>	0.254	0.351
<i>Filed C-AR</i>	0.362	0.395
<i>Filed Anything</i>	0.367	0.396
Ever Compliant		
<i>Filed Timely</i>	0.434	0.496
<i>Filed C-AR</i>	0.570	0.495
<i>Filed Anything</i>	0.575	0.494
Observations	3918	

Note: This table presents summary statistics on the levels of compliance with ongoing reporting requirement. An observation is an offering.

Table 2 – Determinants of Annual Reporting Compliance – Univariate

	Compliance			Economic Benefit				Monitoring	Low Disclosure Cost		
	Filed Timely	Filed C-AR	Filed Anything	Investor Demand	Good News	Low Proprietary Cost	Minority Founder	Monitoring	Firm Resources	Reg-CF Experience	Managerial Experience
Compliance											
Filed C-AR	0.655***										
Filed Anything	0.646***	0.987***									
Economic Benefit											
Investor Demand	0.0809***	0.0248	0.0278*								
Good News	0.0863***	0.0129	0.0165	0.893***							
Low Proprietary Cost	-0.00619	-0.115***	-0.111***	0.770***	0.852***						
Minority Founder	-0.0118	-0.111***	-0.109***	0.712***	0.736***	0.803***					
Monitoring											
Monitoring	0.0678***	0.00235	0.00363	0.867***	0.807***	0.792***	0.716***				
Low Disclosure Cost											
Firm Resources	0.115***	0.0960***	0.0972***	0.581***	0.650***	0.420***	0.359***	0.483***			
Reg-CF Experience	0.0739***	0.0688***	0.0725***	0.688***	0.584***	0.463***	0.405***	0.555***	0.484***		
Managerial Experience	0.0194	-0.0817***	-0.0775***	0.802***	0.869***	0.958***	0.743***	0.812***	0.444***	0.503***	
Low Preparatory Cost	0.0168	-0.0981***	-0.0956***	0.558***	0.629***	0.751***	0.543***	0.634***	0.377***	0.378***	0.759***
Observations	3918	3918	3918	3918	3918	3918	3918	3918	3918	3918	3918

Note: This table presents correlations of various measures of compliance with possible predictors of compliance. The independent variables are the normalized first principal component of various measures of the underlying offering, firm, or manager characteristic. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Table 3 – Determinants of Annual Reporting Compliance – Multivariate

	(1) Timely	(2) Filed AR	(3) Filed
Economic Benefit			
Investor Demand	-0.0168 (0.0216)	-0.0245 (0.0235)	-0.0236 (0.0236)
Good News	0.129*** (0.0233)	0.155*** (0.0249)	0.155*** (0.0249)
Low Proprietary Cost	-0.139*** (0.0281)	-0.181*** (0.0313)	-0.177*** (0.0314)
Minority Founder	-0.0324** (0.0128)	-0.0698*** (0.0138)	-0.0707*** (0.0138)
Monitoring			
Monitoring	0.0512*** (0.0166)	0.0840*** (0.0180)	0.0798*** (0.0180)
Low Disclosure Cost			
Firm Resources	0.0129 (0.00970)	0.0193* (0.0110)	0.0188* (0.0111)
Reg-CF Experience	0.00303 (0.0103)	0.0273** (0.0109)	0.0292*** (0.0109)
Managerial Experience	0.00881 (0.0290)	0.00321 (0.0317)	0.00414 (0.0318)
Low Preparatory Cost	0.0126 (0.0119)	-0.0323** (0.0128)	-0.0331*** (0.0128)
Constant	0.277*** (0.00703)	0.472*** (0.00769)	0.479*** (0.00770)
Dep. Var. Mean	0.277	0.472	0.479
R ²	0.0369	0.0739	0.0727
Observations	3918	3918	3918

Note: This table presents coefficient estimates from a regression of various measures of compliance on possible predictors of compliance. The independent variables are the normalized first principal component of various measures of the underlying offering, issuer, or manager characteristic. Heteroskedasticity-robust standard errors are given in parentheses. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Table 4 – Randomized Intervention Summary Statistics

	No Emphasis Mean	Risk Mean	Benefit Mean	Both Mean
Email Addresses	1.75	1.77	1.76	1.81
First Raise	0.78	0.75	0.75	0.74
Amount Raised	409299.09	448552.01	364797.71	435558.75
Big 3 Platform	0.69	0.69	0.67	0.70
<i>Male</i>	0.58	0.59	0.59	0.59
<i>Female</i>	0.25	0.25	0.24	0.23
<i>Unknown</i>	0.18	0.16	0.17	0.18
Economic Benefit Z-Score	0.39	0.37	0.38	0.42
Monitoring Z-Score	0.30	0.26	0.27	0.26
Low Disclosure Cost Z-Score	0.30	0.34	0.32	0.34
Raise Year	2020	2020	2020	2020
Years with Reporting Requirement	2	2	2	2
Previous Year Compliance Status				
Reported Timely	0.22	0.21	0.22	0.21
Filed C-AR	0.32	0.28	0.32	0.33
Reported Anything	0.33	0.29	0.34	0.36
Ever Compliant in Past				
Reported Timely	0.34	0.34	0.34	0.32
Filed C-AR	0.5	0.5	0.5	0.5
Reported Anything	0.53	0.52	0.53	0.53
Observations	706	719	735	737

Note: This table presents summary statistics for offerings that received each type of language. Email addresses is the number of email addresses associated with the offering that KC sent messages to. The Z-scores are the normalized first principal component of each offering characteristic as estimated in the archival sample. Past compliance is only defined for offerings that had a reporting requirement prior to the intervention.

Table 5 – Effect of Randomized Intervention

	(1) Timely	(2) Filed AR	(3) Filed	(4) Used Raisepapers
Regulatory Risk Language	0.0325** (0.0142)	0.0367** (0.0158)	0.0305* (0.0159)	0.0145*** (0.00380)
Economic Benefit Language	-0.00976 (0.0142)	-0.00414 (0.0158)	-0.00636 (0.0159)	-0.00375 (0.00383)
Price (log)	-0.0172 (0.0297)	-0.0112 (0.0332)	-0.00960 (0.0334)	0.00995 (0.00784)
Control Mean	0.169	0.228	0.238	0.00567
Observations	2897	2897	2897	2897

Note: This table presents estimates of equation (2). Heteroskedasticity-robust standard errors are given in parentheses. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.

Table 6 – Effect of Economic Benefit Language and Price Conditional on Regulatory Risk**Language**

	Has Regulatory Risk Language				No Regulatory Risk Language			
	(1) Timely	(2) Filed AR	(3) Filed	(4) Used Raisepapers	(5) Timely	(6) Filed AR	(7) Filed	(8) Used Raisepapers
Economic Benefit Language	-0.00491 (0.0207)	0.00723 (0.0229)	0.00858 (0.0229)	-0.00322 (0.00695)	-0.0149 (0.0194)	-0.0159 (0.0218)	-0.0217 (0.0221)	-0.00429 (0.00313)
Price (log)	0.0402 (0.0438)	0.0528 (0.0481)	0.0552 (0.0482)	0.0102 (0.0140)	-0.0788** (0.0398)	-0.0799* (0.0455)	-0.0793* (0.0461)	0.00967 (0.00621)
Reg. Risk Language	1	1	1	1	0	0	0	0
Control Mean	0.196	0.253	0.253	0.0195	0.169	0.228	0.238	0.00567
Observations	1456	1456	1456	1456	1441	1441	1441	1441

Note: This table presents estimates of equation (2) conditional on the value of $Reg.Risk_i$. Columns (1)-(4) report estimates conditional on $Reg.Risk_i = 1$ and columns (5)-(8) report estimates conditional on $Reg.Risk_i = 0$. Heteroskedasticity-robust standard errors are given in parentheses. ***, **, * represent statistical significance at the 1 percent, 5 percent, and 10 percent levels, respectively.